



Place

Knowing where customers shop, where a product is sold, and how efficiently goods can be delivered to the consumer—called “place” in marketing terms—is essential to sales success.

How it works

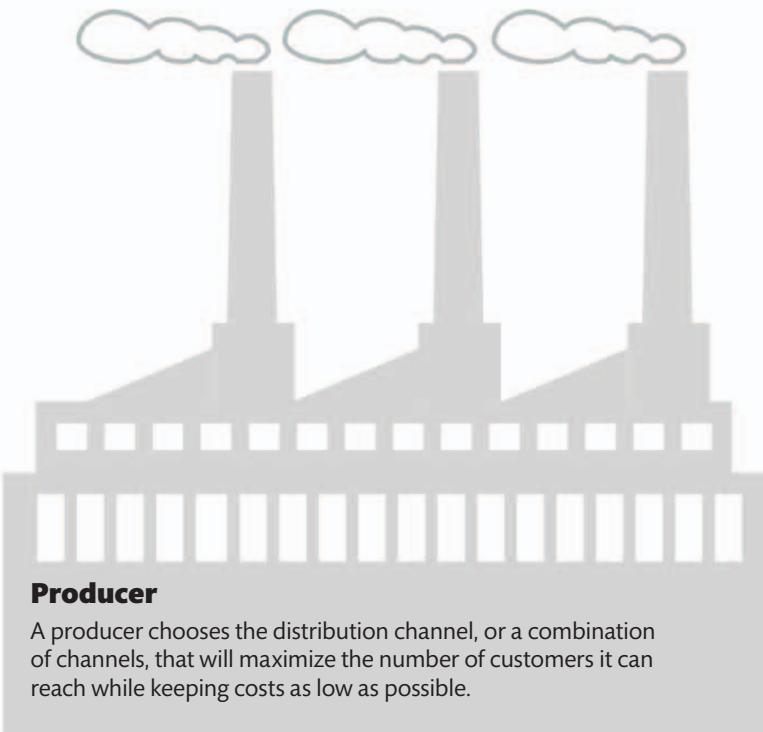
Whether a company sells goods or services, customers must be able to find and buy those products as easily as possible. Businesses have to decide on the best sales outlet and sales channel to get their products to customers in a way that benefits both parties.

A sales outlet is the place where a product is sold, such as stores, catalogs, or e-commerce sites. Sales channels are the merchants, agents, and distributors who take a product from the seller and bring it to the consumer.

70.5%
of device sales by 2017 are forecast to be smartphones

Main distribution channels

A product reaches the marketplace through one of four main types of distribution channels. The most suitable distribution channel is usually dictated by where customers prefer to buy the product.



Selling direct to consumers

Product is sold directly by the producer, online, or through a mail-order catalog, and delivered to customer without intermediary.

Selling through retailers

Goods are delivered by producer directly to retail outlets; retailer adds a markup onto the price they pay to producer.

Selling through wholesalers and retailers

Products are distributed in two stages: by producer to wholesaler and then wholesaler to retailer.

Selling through an agent

Products are distributed in three stages: from producer to agent, from agent to wholesaler, and then on to retailer.